GMS WEEKLY

Your Source for Recycling News

December 3rd, 2021
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Week 50

Highlights:

- **Few transactions.**
- **Steel decline.**
- **Step back.**
- **Pak currency.**
- **Slower end.**

QUOTE of the WEEK

"It is better to fail in originality than to succeed in imitation."

– *Herman Melville*

MARKET COMMENTARY

SUBDUED!

The recycling markets remained subdued this week again, with very few (serious) transactions to note as price and demand have taken a serious hit over recent weeks.

Indian steel plate prices have declined by well over USD 60/LDT, leaving the Alang market lagging seriously behind its regional competitors, whilst both Pakistan and Bangladesh remain tentative in submitting fresh offers as they watch India's ongoing decline.

As such, there have been very few new candidates to consider as Vessel Owners themselves have decided to take a step back from recycling any eligible units, perhaps hoping for freight markets to pick up again going into 2022.

Currencies continue to be of concern, both in Turkey and even in Pakistan, where the PKR reportedly depreciated by about 1.5% since November 20th. This has led to minimal buying interest from Gadani Recyclers on the marginal number of vessels currently available and working firm.

Crew changes too are becoming an issue once again, as the Omicron Covid-10 variant sweeps the world and ports (globally) are gradually closing their borders for international travel / crew changes / foreign crews arriving for take over.

Lastly, the Turkish market was the only one, where, despite a collapsing Lira and a minor downward adjustment in import steel, the Aliaga market overall remained cautiously steady this week.

Taking all of the above into account, it may therefore be a quieter end to the year in the recycling markets and all will be hoping for a rejuvenated appetite to buy, in addition to firming prices, as 2022 comes around.

For week 50 of 2021, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Declining	600 / LDT	610 / LDT	620 / LDT
2	Pakistan	Declining	590 / LDT	600 / LDT	610 / LDT
3	India	Declining	560 / LDT	570 / LDT	580 / LDT
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

SIDELINES!

Out of the game.

Bangladeshi Buyers have remained on the sidelines once again this week, continuing to wait-and-watch market developments before offering firm on any potential candidates.

Supply has crawled to an absolute trickle of late – perhaps the slowest we have seen so far this year. As such, with levels declining and constricted interested from Chattogram Buyers, a rather limited number of Owners and vessels are available to bite on.

Nothing to work.

Barely a couple of units remain in Cash Buyer inventories, but Owners of dry and tanker units are choosing to observe the direction of the markets rather than recycling right away, as Owners are increasingly anticipating an uptick in charter rates going into the new year. Even those ships previously being considered for scrap are now being flipped to trading Buyers instead, and at even higher than their residual values.

NO MARKET SALES REPORTED

INDIA

FEW ENQUIRIES!

India remains the lowest placed of all the sub-continent markets this week, with very few enquiries or offers emanating from local Recyclers.

Lowest placed.

There does remain a small selection of (mostly) stainless-steel chemical tankers filtering through into the Alang market of late. However, even the inflow of these units is drying up, such has been the decline in prices over the last few weeks.

Meanwhile, the Rupee continues trading at a fairly steady number between Rs. 74 and now, in the low Rs. 75 against the U.S. Dollar. However, it is the declining local steel plate prices that have been the chief concern of late, with levels off by over USD 60/Ton in recent weeks.

Steel decline.

Certainly is a nervous time for local Recyclers.

NO MARKET SALES REPORTED

PAKISTAN

MISSED OPPORTUNITIES!

Currency down.

As with the Turkish Lira, Pakistani Buyers have been beset with currency woes this year, with another approx. 1.5% lost on the Pakistani Rupee since November 20th.

This has left many Gadani Recyclers spooked once again and as such, they are electing not to offer firm at this time, despite demand being firm (with many plots empty and ready to take new vessels) and steel prices strong overall, despite an approx. $14/Ton decline this week.

Ruing the day.

As such, Gadani Buyers seems destined to miss out on many of the market candidates to the far better placed Chattogram Recycling Club and may rue such missed opportunities, especially with supply all but evaporating.

NO MARKET SALES REPORTED

TURKEY

TAKING TIME!!!

Though jittery, the Turkish market remains relatively unchanged since last week.

Lira breaches 13.85

While the Lira continues its decline at terminal velocity as it heads towards TRY 14.0 against the U.S. Dollar (briefly breaching TRY 13.85 and settling at TRY 13.75 as the week ended) and import steel plate prices ended the week another USD 10/MT lower, the market seems to be holding off any potential decline in vessel prices at this time, as Aliaga Buyer's take the time to watch market movements.

Cautious buying.

The global slowdown in the supply of vessels hasn't spared the Turkish market either, as demand remains firm and Aliaga Buyers are still on the lookout for units.

However, given how jittery fundamentals have been and a potential decline just waiting to cook its way to the surface, there is caution in the bidding strategy of Aliaga Recyclers as well.

As such, we may well see this market take its time for fundamentals to steady and local Recyclers get more confident to put down firm offers.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The first Native Americans to help the Pilgrims, named Samoset and Tisquantum ("Squanto"), could both speak English before having met the settlers.*
- *Of all the people in history that have reached 65 years of age, half of them are living right now.*
- *A mosquito has 47 teeth.*
- *The USA is an older country than Germany.*
- *The longest interval between the birth of twins is 87 days.*
- *More people in the world currently suffer from obesity than from hunger.*
- *The New York Yankees have won as many World Series as the next four closest teams combined.*
- *A mouse can fit (more like squeeze itself) through a hole the size of a ballpoint pen.*
- *A large percentage of the budget for Monty Python and the Holy Grail was donated by members of Led Zeppelin and Pink Floyd.*
- *Michael Jordan makes more money from Nike annually than all of the Nike factory workers in Malaysia combined.*
- *Human fingers are so sensitive that if your fingers were the size of Earth, you could feel the difference between a house and a car.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas Day	December 05 – December 10 December 17 – December 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 – Victory Day of Bangladesh December 25 – Christmas Day	December 03 – December 06 December 19 – December 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December.	December 25 – Christmas Day	**No holidays in December.**

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ALANG - Port Position as of December 03, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Aum	1,598	Oil Tanker	Beached November 27
2	Banyan Pride	9,495	Oil Tanker	Arrived December 02
3	Goldstar Nari	2,947	Chemical Tanker	Beached December 03
4	Jalpari	2,999	Oil Tanker	Beached December 02
5	Ramagas	6,720	LPG	Beached December 03
6	Siren	2,522	Supply Vessel	Beached December 02
7	Video	554	Fishing Vessel	Arrived December 01
8	Zara 17	1,180	Oil Tanker	Beached December 01
Total Tonnage		28,015		

CHATTOGRAM - Port Position as of December 03, 2021

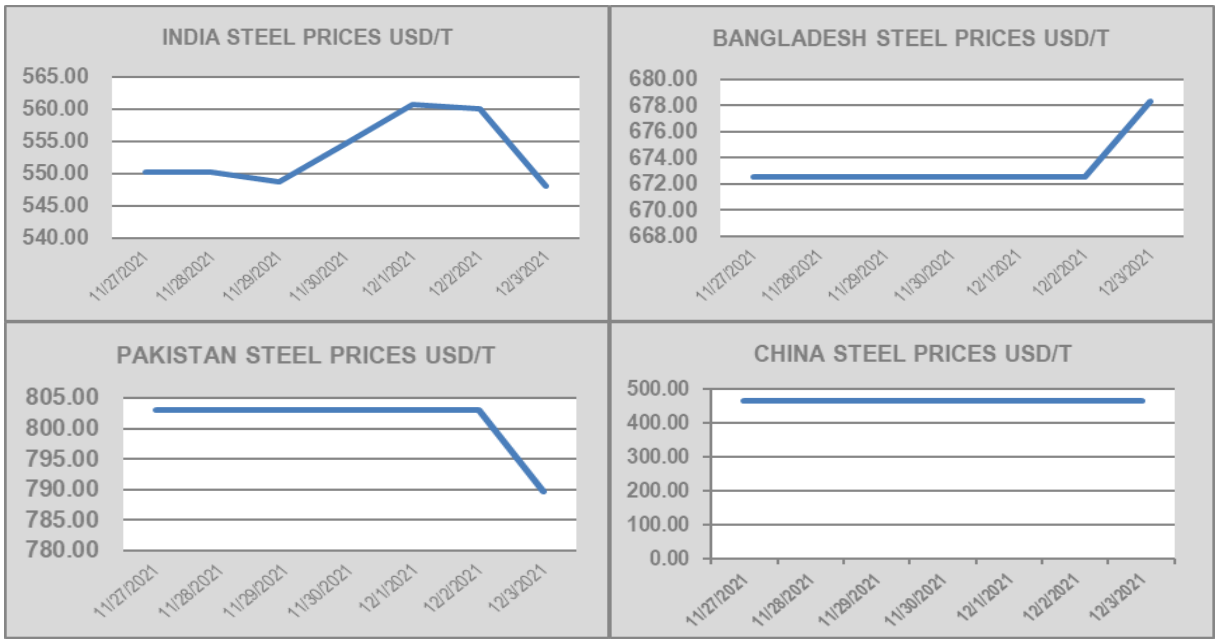
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Altair	6,395	RoRo	Arrived November 26
2	BNS Shah Amanat	345	Landing Craft	Arrived October 29
3	Bull Sumbawa	7,842	Tanker	Arrived November 23
4	Chang Li	2,771	Tanker	Arrived December 01
5	Global	42,152	Tanker	Arrived November 21
6	Jubilant	42,760	FSO	Arrived December 01
7	Laris	11,443	Tanker	Arrived October 29
8	LCT-101	83	Landing Craft	Arrived October 29
9	Marine One	1,457	Reefer	Arrived October 28
10	Mega Reefer	1,445	Reefer	Arrived October 29
11	Ocean 68	2,369	General Cargo	Arrived November 23
12	Oriental Chilan	1,548	Reefer	Arrived October 28
13	Ostrov Eusskiy	2,397	Tanker	Beached December 02
14	Yuan Sheng	1,880	Tanker	Arrived December 01
Total Tonnage		124,886		

GADANI - Port Position as of December 03, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Antares Experience	24,541	Passenger Ship	Beached December 03
2	Astro Sunrise	2,143	Barge	Beached December 02
3	Juli	1,988	Tanker	Beached December 03
4	Lord Gee	1,033	Tug	Arrived November 30
5	Masarrah	5,583	RORO/ Passenger Ship	Beached December 02
6	Ocean Sharm	1,357	Tug	Arrived November 30
7	Red Sea Pearl	1,894	Tanker	Beached November 30
8	Sir Gee	770	Tug	Arrived November 30
9	Vagabon	3,024	Tanker	Arrived December 01
Total Tonnage		42,333		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
11/27/2021	550.29	41,200.00	802.98	140,000.00	672.51	57,500.00	466.87
11/28/2021	550.29	41,200.00	802.98	140,000.00	672.51	57,500.00	466.87
11/29/2021	548.67	41,200.00	802.98	140,000.00	672.51	57,500.00	466.87
11/30/2021	554.82	41,700.00	802.98	140,000.00	672.51	57,500.00	466.87
12/1/2021	560.75	42,000.00	802.98	140,000.00	672.51	57,500.00	466.87
12/2/2021	560.00	42,000.00	802.98	140,000.00	672.51	57,500.00	466.87
12/3/2021	548.15	41,100.00	789.62	140,000.00	678.36	58,000.00	466.87



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